



ILLUSTRATION BY RAJ VERMA

EXEMPTIONS TO THE RULE

► To provide clarity and flexibility, the CBDT has made certain exemptions

► Among the entities eligible for these exemptions are DPIIT-registered start-ups

► Also exempt are start-ups where the aggregate amount of paid-up share capital and share premium post the proposed share issue is not over ₹25 crore

► Specified entities such as sovereign wealth funds, central banks, Sebi-registered Category 1 FPIs, and pension funds from 21 specific countries

Act, 1961, to tax share premiums in excess of the fair value as income at 30 per cent. While the provision was limited to residents at that time, Budget 2023-24 expanded its scope to include foreign investors “to eliminate the possibility of tax avoidance”.

DPIIT-recognised start-ups, where the aggregate amount of paid-up share capital and share premium post the proposed share issue is not over ₹25 crore, can apply for tax exemption. However, based on representations from the